NOTE 18. INCOME TAXES

Income tax expense for each of the three years ended September 30, consisted of the following:

	2000	1999	1998
Current	$604,196	136,631	--
Deferred	--	--	290,320
	$604,196	136,631	290,320

Income tax expense for the years ended September 30, 2000, 1999 and 1998, differs from the amounts of expected benefit computed by applying the U.S. Federal income tax rate of 34% to loss from continuing operations before income taxes as a result of the following:

	2000	1999	1998
Computed "expected" income tax benefit	$(1,461,000)	(1,037,821)	(2,274,242)
Income tax expense (benefit) resulting from:			
Nondeductible expenses	9,000	19,487	159,948
State taxes, net of Federal benefit	(148,000)	(166,527)	(150,268)
Change in valuation allowance for deferred tax assets	2,303,000	1,328,000	2,393,308
Other	(98,804)	(6,508)	161,574
Income tax expense	$ 604,196	136,631	290,320

Temporary differences between financial statement carrying amounts and the tax bases of assets and liabilities that result in significant deferred tax assets and liabilities are as follows:

	September 30,	
	2000	1999

Deferred tax assets:		
Deferred rent concessions	$ 556,000	601,000
Accrued expenses	167,000	376,000
Allowance for doubtful accounts	244,000	151,000
Unamortized employee loans	--	(13,000)
Unrealized loss on investments	377,000	--
Investments in subsidiaries and affiliates	--	29,000
Operating loss carryforwards	6,458,000	4,371,000
Gross deferred tax assets	7,802,000	5,515,000
Less: valuation allowance	(7,727,000)	(5,424,000)
Deferred tax assets after valuation allowance	75,000	91,000
Deferred tax liabilities:		
Property and equipment	(75,000)	(91,000)
Gross deferred tax liabilities	(75,000)	(91,000)
Net deferred tax asset	$ --	$ --

Net operating losses of approximately $14,000,000 expire during the years from 2011 to 2015.

In assessing the realizability of deferred tax assets, management considered whether it is more likely than not that the deferred tax asset would be realized. The ultimate realization of the deferred tax asset is dependent on the generation of future taxable income in the period in which the temporary differences become deductible. The Company has established a valuation allowance for deferred taxes due to the uncertainty that the deferred tax asset will be realized. In determining the valuation allowance, management considered factors including the reversal of existing temporary differences and estimates of future taxable income.